

August 5, 2026 05:22 AM GMT

Advanced Micro Devices | North America

AMD - 2H a little better, 2027 significantly better

WHAT'S CHANGED

Advanced Micro Devices (AMD.O)	From	To
Price Target	\$410.00	\$465.00

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Modest upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Near term numbers not surprising but commentary about 2027 data center revenue "significantly more than doubling" is certainly positive commentary vs. our 80% estimates. #s higher; we like the revenue growth but the warrant issuance tempers our enthusiasm.

Key Takeaways

- Quarter and outlook modestly above consensus, but below some of the more bullish expectations coming out of last week's event. Our CY26/CY27 EPS comes up 3%/ 9%
- Server continues to be exceptionally strong, +70% y/y, with AMD now having line of sight to similar or higher levels of growth over the next 6 quarters
- GPU upside more limited in front of a Helios launch that is mostly in Q4
- We are EW; we like the server position and inroads in GPU but the premium to peers even looking through the warrants limits upside potential, in our view

AMD guided server revenues to grow >70% y/y next year, given strong growth and high visibility. We had expected a more substantial near-term acceleration due to the enthusiasm going back multiple quarters. But it's clear supply is putting a ceiling on near-term numbers at least to some degree. That's improving visibility as lead times extend, but with the sudden spike in demand and several participants all looking to use that as an opportunity to gain share, we are not yet convinced this is durable for multiple years. Server CPUs were historically a slow growth TAM, but as agenetic needs have accelerated, each of Intel, AMD, ARM, AWS, Axion and Nvidia are ramping products aggressively with the intent to gain share. Units at Intel have gone from -5% y/y in Q1 to +9% y/y in Q2, so the trajectory of supply is improving quickly.

Increasingly difficult to separate signal from noise in AMD's GPU business, but management remains enthusiastic about the coming ramp. AMD does not report the AI GPU segment, but we think it was up to about a ~\$10.4bn run rate in Q2 and

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Advanced Micro Devices (AMD.O, AMD US)

Semiconductors | United States of America

Stock Rating	Equal-weight
Industry View	Attractive
Price target	\$465.00
Shr price, close (Aug 4, 2026)	\$518.58
Mkt cap, curr (mm)	\$875,085
52-Week Range	\$584.73-149.22

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$)**	4.23	7.67	15.54	23.30
Prior EPS (\$)**	-	7.41	14.19	18.97
P/E	63.1	67.8	32.0	21.4
EPS (\$)§	3.99	7.47	13.82	19.53
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.96	-	1.37a	2.65	3.00
Q2	0.48	-	1.66a	3.22	3.55
Q3	1.20	1.85	1.93	3.84	4.17
Q4	1.53	2.56	2.69	4.47	4.77

e = Morgan Stanley Research estimates, a = Actual Company reported data

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model it exiting 2026 at above \$25bn, surpassing CPU as the largest piece of the datacenter business. Management expects well north of 100% growth in 2027, with participation from each of the three large committed customers; we model \$38bn but would think expectations are around \$45bn (~1 GW with each customer at \$15bn per GW).

There's reasons to be confident in that trajectory: AMD has been investing considerable resources over multiple product generations, and now has multi GW engagements with a handful of the largest and most important customers in AI. And given the size of the TAM, there's a lot of opportunity for AMD. But given the warrant arrangements, it will be challenging to assess the true level of customer buy in even as revenue ramps more materially next year.

Memory headwinds continue to temper enthusiasm in client, while embedded continues to accelerate. AMD still expects to grow y/y in client and in gaming despite memory headwinds that will likely create a well below seasonal Q3/Q4; we model AMD's client PC segment up 13.4% in 2026 vs 8% for Intel's CCG. Gaming will step down more meaningfully in the second half, but given the size and lower margins, it's not much of a headwind to AMD overall. For embedded AMD continues to see an improving backdrop, y/y growth has accelerated for the third quarter in a row to 19%, the highest in three years, and should continue to accelerate against easy comps and improving demand in A&D, networking, and edge AI applications.

Details on segment results: The company reported top-line results of \$11.536bn (up 12.5% q/q and up 50.1% y/y), above the Street at \$11.306bn and our estimate of \$11.297bn. In the Data Center segment, the company reported \$6.718bn in revenue (up 16.3% q/q and up 107.3% y/y), while in the Client segment the company reported \$3.062bn (up 6.1% q/q and up 22.5% y/y), \$0.779bn (up 8.2% q/q and down 30.6% y/y) for the Gaming segment, and \$0.977bn in Embedded (up 11.9% q/q and up 18.6% y/y). The company also reported GM of 56%, above the Street at 55.8% and our estimate of 55.9%, and EPS of \$1.66, above the Street at \$1.62 and our estimate of \$1.61.

Sept-quarter guided revenue above consensus: The company guided revenue to \$13bn at the midpoint, implying 12.7% sequential growth, above the Street at \$12.528bn and our estimate of \$12.607bn. The company also guided gross margins to 56.0% for the quarter, flat q/q and up 208bps y/y, in-line with the Street at 56.0% and above our estimate of 54.7%.

Changes to our estimates: We now forecast \$13.006bn in revenue for the September quarter, with 56.1% non-GAAP gross margins and 28.0% non-GAAP operating margins, resulting in \$1.93 in EPS. For the full FY26, we now forecast \$51.147bn in revenue, 55.8% non-GAAP gross margins, and \$7.67 in non-GAAP EPS, up from our prior \$49.623bn/55.0%/\$7.41. For FY27, we forecast 74% topline growth, now looking for \$88.987bn in revenue, 55.3% in non-GAAP gross margins, and \$15.54 in non-GAAP EPS vs our prior \$76.102bn/56.3%/\$14.19.

Thoughts on the stock: We can't completely ignore the cost of the warrants. The CPU narrative is exceptional, and the Helios is likely to make inroads next year. But the Helios success comes at a marketing expense of issuing \$15 bn+ in warrants for every \$15-20 bn in revenues for two customers for the foreseeable future. If that

were treated as a cash expense, it would wipe out profitability. We actually think the warrants are a good idea, and are likely to stimulate customer interest. But issuing stock has a cost, and whatever GPU success that they achieve is clearly influenced by these deals. That does put an asterisk next to the potential achievements in GPUs - and points to better risk/rewards for stocks that trade at a mid teens multiple on earnings that don't have such a high contra cost. To be clear, we aren't objecting to the warrant issuance, but we *are* saying that it has a negative impact on the earnings of the company over the next 3-4 years, which makes the stock less attractive than peers that aren't doing that.

As far as our PT, we had assumed a ~31x multiple on CY27 Modelware EPS (incl stock comp) of \$13.13. Our numbers come up to \$15.09, and on the same ~31x PE, our PT comes up to \$465 vs \$410 previously. ~31x is a premium to large cap AI semis peers NVDA and AVGO, reflecting unique opportunities in server CPU and a potentially long runway for growth in AI.

Risk Reward – Advanced Micro Devices (AMD.O)

Like AMD's position in server, but high AI expectations limit room for upside

PRICE TARGET \$465.00

Our \$465 PT for AMD equals ~31x base case FY2027e MWEPS of \$15.09, reflecting further share gains at the expense of Intel, and 115% y/y growth in datacenter (~160% in AI)

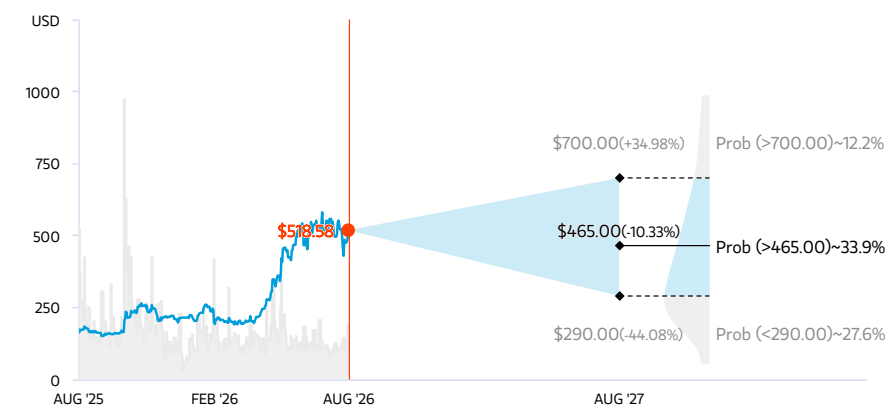
Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

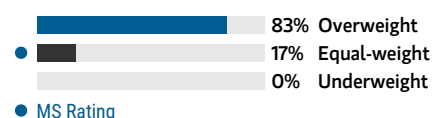


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 4 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

We see continued share gains in notebook and server processors in 2026 and 2027 as AMD continues to execute on its product roadmap. AMD's AI story should gain momentum later this year with MI450 products, but performance leadership will be key. An area where AMD will need to prove they can deliver competitive ROI vs incumbents

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$700.00

~35x bull case FY2027e MW EPS of \$20.13

Bull case assumes further execution for AMD. In computing and graphics, AMD continues to gain material market share, while both CPU and GPU markets remain healthier than forecasted. AMD solidifies a #2 position in the datacenter GPU market

BASE CASE \$465.00

~31x base case FY2027e MW EPS of \$15.09

Further share gains for AMD in server compute and notebook continue to drive growth, further supported by a strengthening AI GPU story

BEAR CASE \$290.00

~25x bear case FY2027e MW EPS of \$11.50

AMD loses momentum in AI, and Intel shows signs it's beginning to regain its footing in server. The multiple compresses as they are unable to drive meaningful revenues in AI markets beyond one or two customers

Risk Reward – Advanced Micro Devices (AMD.O)

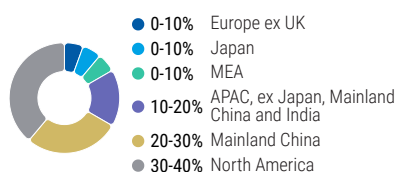
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	34,639	51,147	88,987	125,207
Non-GAAP Gross Margin (%)	52.4	55.8	55.3	56.3
Non-GAAP EPS (\$)	4.23	7.67	15.54	23.30
Inventory (\$, mm)	7,920	14,088	21,028	27,163
DOI	165.3	216.5	188.1	179.2

INVESTMENT DRIVERS

- AMD continues to execute to its product roadmaps, enabling it to gain share on a smaller R&D budget than INTC
- AI ecosystem adoption takes time, and we see AMD's early success as more of a testament to the strength of the overall market thus far

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Datacenter GPU outperforms expectations, closing the gap with Nvidia
- PC and server share gain accelerates; Intel's competitive response is less impressive than expected
- Server refresh drives datacenter revenue above expectations

RISKS TO DOWNSIDE

- Intel's server CPUs in 2027 stifle AMD's momentum and allow it to regain share
- AMD loses graphics share to NVIDIA
- Datacenter GPU underperforms expectations

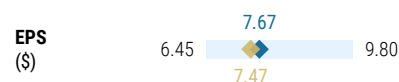
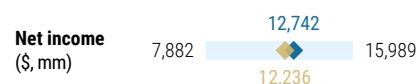
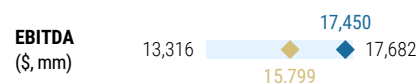
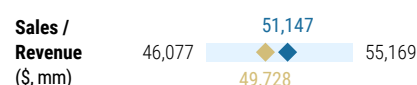
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.7%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

AMD-US: Snapshot for the quarter ended June 2026

Income Statement									
Qtr Results:	Actual			Lst Qtr	QoQ	Lst Yr	YoY	Cons.	MSe
Revenue	\$11,536			\$10,253.0	12.5%	\$7,685.0	50.1%	\$11,306	\$11,297
Gross Margin	56.0%			55.4%	63 bps	43.2%	1280bps	55.8%	55.9%
EPS **	\$1.66			\$1.37	\$0.29	\$0.48	\$1.18	\$1.62	\$1.61
Nxt Qtr Outlook:	Low	High	Midpoint						
Revenue	\$12,700	\$13,300	\$13,000		12.7%	\$9,246.0	40.6%	\$12,528	\$12,607
Gross Margin			56.0%		0bps	53.9%	208bps	56.0%	54.7%
EPS								\$1.88	\$1.85

Source: Morgan Stanley Research estimates, Company data

Exhibit 2: MSe vs Reported

Non-GAAP financials, \$ in Millions except per share				
	Reported F2Q26	MS Est F2Q26	Difference Act vs. Est.	Per share Difference
Total Revenue	11,536.0	11,297.2	238.8	0.14
Cost of Sales	5,048.0	4,975.2	72.8	(0.04)
Gross Profit	6,488.0	6,322.1	165.9	0.10
Gross Margin	56.2%	56.0%	0.3%	
R&D	2,043.0	2,038.0	5.0	NM
SG&A	1,391.0	1,293.1	97.9	(0.06)
Other Opex (inc)	(41.0)	(27.0)	(14.0)	NM
Total Op Expenses	3,393.0	3,304.1	88.9	(0.06)
Operating Income	3,095.0	3,017.9	77.1	0.05
Operating Margin	26.8%	26.7%	0.1%	
Income tax provision	413.0	399.9	13.1	NM
Net Income	2,760.0	2,680.0	80.0	0.05
EPS	\$1.66	\$1.61	\$0.05	0.05
Diluted Shares Out.	1,660.0	1,660.0	0.0	

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: AMD: Projected Balance Sheet

Advanced Micro Devices, Inc. Balance Sheet (\$ in millions; fiscal year ends in December)	C1Q24A	C2Q24A	C3Q24A	C4Q24A	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E				
	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26				
	F1Q24A	F2Q24A	F3Q24A	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	FY2025A	FY2026E	FY2027E	FY2028E
Assets																
Cash and cash equivalents	4,190.0	\$ 4,113.0	\$ 3,897.0	\$ 3,811.0	6,059.0	\$ 4,453.0	\$ 4,825.0	\$ 5,556.0	5,585.0	\$ 5,086.0	\$ 3,470.4	\$ 667.2	\$ 5,556.0	\$ 667.2	\$ 8,281.1	\$ 39,959.8
Marketable securities	1,845.0	1,227.0	647.0	1,345.0	1,261.0	1,425.0	2,435.0	5,013.0	6,762.0	8,025.0	10,025.0	12,025.0	5,013.0	12,025.0	20,025.0	22,025.0
Trading assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivables, net	5,038.0	5,749.0	7,241.0	6,192.0	5,443.0	5,115.0	6,201.0	6,315.0	6,035.0	7,281.0	8,208.6	10,320.7	6,315.0	10,320.75	16,550.05	22,525.18
Inventory	4,652.0	4,991.0	5,374.0	5,734.0	6,416.0	6,677.0	7,313.0	7,920.0	8,045.0	8,468.0	10,455.3	14,088.5	7,920.00	14,088.46	21,027.62	27,163.22
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Prepaid expenses and other current assets	1,359.0	1,385.0	1,576.0	1,967.0	2,416.0	6,849.0	6,226.0	2,143.0	2,201.0	2,662.0	3,001.1	3,773.4	2,143.0	3,773.4	6,050.9	8,235.4
Total Current Assets	17,084.0	17,465.0	18,735.0	19,049.0	21,595.0	24,519.0	27,000.0	26,947.0	28,628.0	31,522.0	35,160.4	40,874.7	26,947.0	40,874.7	71,934.6	119,908.6
Property and equipment, net	1,624.0	1,666.0	1,669.0	1,802.0	1,921.0	2,128.0	2,205.0	2,312.0	2,723.0	3,439.0	4,355.0	5,471.0	2,312.0	5,471.0	7,967.0	8,287.0
Long-term marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Investment in GLOBALFOUNDRIES	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition related intangible assets, net	20,741.0	20,138.0	19,572.0	18,930.0	18,363.0	17,812.0	17,250.0	16,705.0	16,154.0	15,635.0	15,635.0	15,635.0	16,705.0	15,635.0	15,635.0	15,635.0
Goodwill	24,262.0	24,262.0	24,839.0	24,839.0	24,839.0	25,083.0	25,083.0	25,126.0	25,344.0	25,470.0	24,858.0	24,246.0	25,126.0	24,246.0	22,326.0	20,406.0
Other assets	4,184.0	4,355.0	4,821.0	4,606.0	4,832.0	5,278.0	5,353.0	5,836.0	6,793.0	8,398.0	8,398.0	8,398.0	5,836.0	8,398.0	8,398.0	8,398.0
Total Assets	67,895.0	67,886.0	69,636.0	69,226.0	71,560.0	74,820.0	76,891.0	76,926.0	79,642.0	84,464.0	88,406.4	94,624.7	76,926.0	94,624.7	126,260.6	172,634.6
Liabilities & Shareholders' Equity																
Current portion of long-term debt	-	-	-	-	-	-	873.0	874.0	874.0	875.0	875.0	875.0	874.0	875.0	875.0	875.0
Accounts payable	1,418.0	1,699.0	2,530.0	1,990.0	2,206.0	3,080.0	3,483.0	2,929.0	2,997.0	5,359.0	6,022.7	7,629.6	2,929.0	7,629.60	11,885.70	15,353.80
Accounts payable to Foundry	438.0	420.0	461.0	476.0	-	-	-	-	-	-	-	-	-	-	-	-
Accrued liabilities	3,444.0	3,629.0	4,120.0	4,260.0	3,876.0	4,479.0	5,112.0	5,250.0	5,785.0	5,546.0	5,546.0	5,546.0	5,250.0	5,546.0	5,546.0	5,546.0
Deferred income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other short-term obligations	750.0	-	-	-	947.0	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	424.0	447.0	389.0	555.0	674.0	2,284.0	2,232.0	402.0	850.0	301.0	299.0	297.0	402.0	297.0	289.0	281.0
Total Current Liabilities	6,474.0	6,195.0	7,500.0	7,281.0	7,703.0	9,843.0	11,700.0	9,455.0	10,506.0	12,081.0	12,742.7	14,347.6	9,455.0	14,347.6	18,595.7	22,065.8
Long-term debt	1,718.0	1,719.0	1,720.0	1,721.0	3,217.0	3,218.0	2,347.0	2,348.0	2,350.0	2,351.0	2,351.0	2,351.0	2,348.0	2,351.0	2,351.0	2,351.0
Long-term deferred tax liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities	3,505.0	3,434.0	3,431.0	2,656.0	2,749.0	2,094.0	2,054.0	2,124.0	2,324.0	2,808.0	2,808.0	2,808.0	2,124.0	2,808.0	2,808.0	2,808.0
Noncontrolling interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Shareholders' Equity	56,198.0	56,538.0	56,985.0	57,568.0	57,881.0	59,665.0	60,790.0	62,999.0	64,462.0	67,224.0	70,504.7	75,118.1	62,999.0	75,118.1	102,505.9	145,419.8
Total Liabilities & Equity	67,895.0	67,886.0	69,636.0	69,226.0	71,560.0	74,820.0	76,891.0	76,926.0	79,642.0	84,464.0	88,406.4	94,624.7	76,926.0	94,624.7	126,260.6	172,634.6

Source: Morgan Stanley Research estimates, Company data

Exhibit 5: AMD: Projected Cash Flow Statement

AMD, Inc. Statement of Cash Flows (Non Cumulative) (\$ in millions; fiscal year ends in December)	C1Q25A	C2Q25A	C3Q25A	C4Q25A	C1Q26A	C2Q26A	C3Q26E	C4Q26E				
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26				
	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	FY2025A	FY2026E	FY2027E	FY2028E
Cash flows provided by (used for) operating activities:												
Net income	\$ 709.0	\$ 872.0	\$ 1,243.0	\$ 1,511.0	\$ 1,383.0	\$ 2,297.0	\$ 2,775.7	\$ 4,108.4	\$ 4,335.0	\$ 10,564.1	\$ 25,367.8	\$ 40,893.9
Adjustments to reconcile net income to net cash												
Depreciation and amortization	742.0	757.0	754.0	751.0	757.0	765.0	765.0	765.0	3,004.0	3,052.0	2,400.0	2,400.0
Compensation recognized under employee stock plans	364.0	369.0	419.0	486.0	487.0	503.0	503.0	503.0	1,638.0	1,996.0	2,012.0	2,012.0
Net loss on sale of property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-
Net gain on sale of marketable securities	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash interest expense	-	-	-	-	-	-	-	-	-	-	-	-
Amortization of intangibles	-	-	-	-	-	-	-	-	-	-	-	-
Equity (income) loss and dilution gain in investee	-	-	-	-	-	-	-	-	-	-	-	-
Deferred taxes	(167.0)	(33.0)	218.0	230.0	(79.0)	(27.0)	-	-	248.0	(106.0)	-	-
Restructuring and other special charges, net	-	-	-	-	-	-	-	-	-	-	-	-
Other operating activities	39.0	(418.0)	233.0	1,008.0	(49.0)	(439.0)	-	-	862.0	(488.0)	-	-
Changes in current assets and liabilities:												
Accounts receivable	748.0	330.0	(1,085.0)	(114.0)	280.0	(1,246.0)	(927.6)	(2,112.1)	(121.0)	(4,005.7)	(6,229.3)	(5,975.1)
Inventory	(682.0)	(261.0)	(636.0)	(610.0)	(125.0)	(423.0)	(1,987.3)	(3,633.2)	(2,189.0)	(6,168.5)	(6,939.2)	(6,135.6)
Prepaid expenses and other assets	(237.0)	(140.0)	118.0	248.0	(308.0)	(683.0)	(339.1)	(772.2)	(11.0)	(2,102.4)	(2,277.5)	(2,184.6)
Accounts payable	(289.0)	836.0	451.0	(588.0)	(104.0)	2,274.0	663.7	1,606.9	410.0	4,440.6	4,256.1	3,468.1
Accrued liabilities	(288.0)	(301.0)	444.0	(322.0)	713.0	(652.0)	-	-	(467.0)	61.0	-	-
Income taxes payable and receivable	-	-	-	-	-	-	-	-	-	-	-	-
Prepayments to Global Foundries	-	-	-	-	-	-	-	-	-	-	-	-
Payable to GLOBALFOUNDRIES	-	-	-	-	-	-	-	-	-	-	-	-
Other changes in assets and liabilities	-	-	-	-	(11.0)	(3.0)	-	-	-	(14.0)	-	-
Net cash provided by operating activities	939.0	2,011.0	2,159.0	2,600.0	2,944.0	2,366.0	1,453.4	465.8	7,709.0	7,229.2	18,589.9	34,478.7
Cash flows from investing activities:												
Purchases of property, plant and equipment	(212.0)	(282.0)	(258.0)	(222.0)	(389.0)	(808.0)	(1,069.0)	(1,269.0)	(974.0)	(3,535.0)	(2,976.0)	(800.0)
Purchase of available-for-sale securities	(304.0)	(492.0)	(1,314.0)	(3,360.0)	(2,545.0)	(2,010.0)	(2,000.0)	(2,000.0)	(5,470.0)	(8,555.0)	(8,000.0)	(2,000.0)
Maturities and sales of available-for-sale securities	398.0	333.0	317.0	797.0	778.0	775.0	-	-	1,845.0	1,553.0	-	-
Purchases of trading assets	-	-	-	-	-	-	-	-	-	-	-	-
Maturities and sales of trading assets	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-
Acquisitions, net of cash acquired	-	(1,716.0)	-	(44.0)	-	(129.0)	-	-	(1,760.0)	(129.0)	-	-
Proceeds from sale of property, plant and equipment	-	-	-	-	-	-	-	-	-	-	-	-
Other investing activities	(239.0)	(141.0)	(82.0)	1,288.0	(409.0)	(678.0)	-	-	826.0	(1,087.0)	-	-
Net cash used for investing activities	(357.0)	(2,298.0)	(1,337.0)	(1,541.0)	(2,565.0)	(2,850.0)	(3,069.0)	(3,269.0)	(5,533.0)	(11,753.0)	(10,976.0)	(2,800.0)
Cash flows from financing activities:												
Increase (decrease) in short-term debt, net	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from borrowings	2,441.0	-	-	-	-	-	-	-	2,441.0	-	-	-
Repayments of debt	-	(950.0)	-	-	-	-	-	-	(950.0)	-	-	-
Proceeds from issuance of Foundry notes	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of AMD common stock	4.0	155.0	10.0	116.0	5.0	200.0	-	-	285.0	205.0	-	-
Repurchase of noncontrolling interest	-	-	-	-	-	-	-	-	-	-	-	-
Repurchase of common stock	(749.0)	(478.0)	(89.0)	-	(221.0)	-	-	-	(1,316.0)	(221.0)	-	-
Payment of dividends to stockholders	-	-	-	-	-	-	-	-	-	-	-	-
Other financing activities	(30.0)	(46.0)	(371.0)	(444.0)	(134.0)	(215.0)	-	-	(891.0)	(349.0)	-	-
Net cash used for financing activities	1,666.0	(1,319.0)	(450.0)	(328.0)	(350.0)	(15.0)	-	-	(431.0)	(365.0)	-	-
Effect of exchange rate changes on cash and cash equivalents	-	-	-	-	-	-	-	-	-	-	-	-
Cash and cash equivalents, beginning of period	3,811.0	6,059.0	4,453.0	4,825.0	5,556.0	5,585.0	5,086.0	3,470.4	3,811.0	5,556.0	667.2	8,281.1
Change in cash flow due to restatement	-	-	-	-	-	-	-	-	-	-	-	-
Net increase (decrease) in cash and cash equivalents	2,248.0	(1,606.0)	372.0	731.0	29.0	(499.0)	(1,615.6)	(2,803.2)	1,745.0	(4,888.8)	7,613.9	31,678.7
Cash and cash equivalents, end of period	6,059.0	4,453.0	4,825.0	5,556.0	5,585.0	5,086.0	3,470.4	667.2	5,556.0	667.2	8,281.1	39,959.8
vs. Balance Sheet	6,059.0	4,453.0	4,825.0	5,556.0	5,585.0	5,086.0	3,470.4	667.2	5,556.0	667.2	8,281.1	39,959.8
Check	-	-	-	-	-	-	-	-	-	-	-	-

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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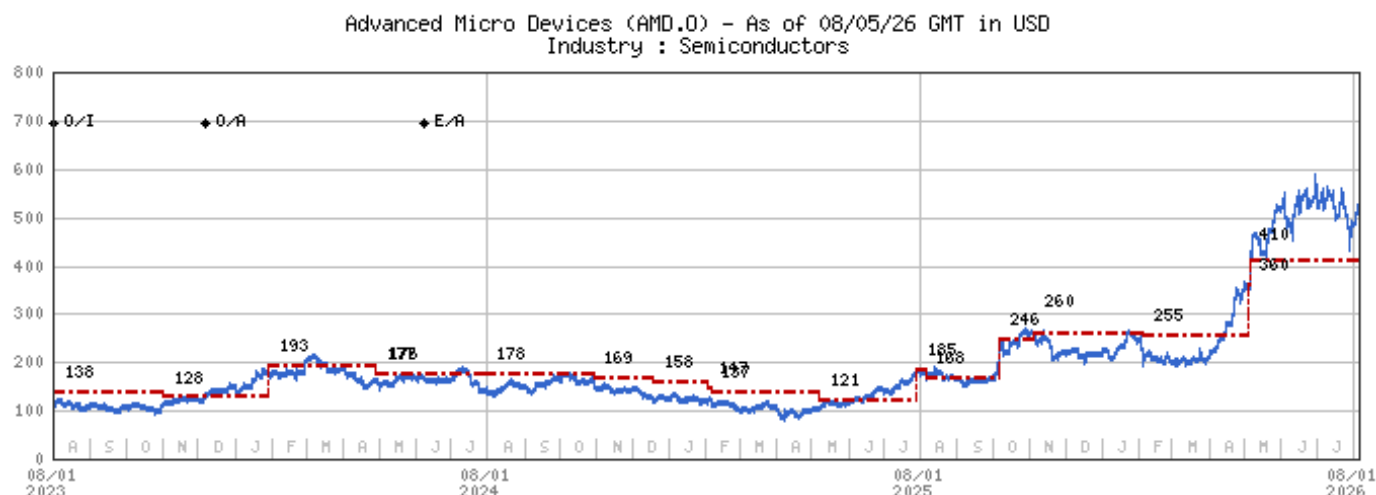
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Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/04/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$518.58
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$20.43
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$42.85
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$82.23
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$55.87
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$380.29
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$361.67
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$418.16
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$227.15
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$52.02
Intel Corporation (INTC.O)	E (02/22/2023)	\$100.86
IonQ Inc (IONQ.N)	E (04/25/2023)	\$41.72
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$218.59
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$80.67
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$892.67
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$12.69
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$211.94
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$237.60
ON Semiconductor Corp. (ON.O)	++	\$80.78
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$95.04
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$162.67
Quantinuum (QNT.O)	E (06/29/2026)	\$58.14
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,427.62
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$129.16
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$218.39
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$66.79
Texas Instruments (TXN.O)	U (04/13/2020)	\$283.63

Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$27.06
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$280.56
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$340.62
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$403.86

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.